The Rise and Fall of Nvidia

Luke P. Corcos – March 30th, 2025

Part I – The Rise

1. Introduction – Stocks as a series of waves and bases.

In 2016, the stock of graphics processing unit (GPU) designer Nvidia, ticker NVDA, began a stellar nine-year bull run. Used for gaming, cryptocurrency mining, and machine learning/AI, Nvidia's GPUs were in a class of their own and high demand. This was reflected through incredible earnings growth and the stock price. NVDA ran from a breakout of $0.82 (split-adjusted[1]) in March 2016 to a peak of $153 on January 7th, 2025. A total gain of 18,650%. Nvidia's bull run is shown in Fig. 1 via a weekly chart with a logarithmic scale. Illustrated are three separate bull phases, each about 2-2.5 years in duration with a price increase of 600-700%. Between each bull market was a roughly one-year 60% correction.

Fig. 1 – A weekly chart of NVDA's great 18,000%+ bull run. Chart courtesy of TradingView.

[1] NVDA stock split 4-1 in July 2021 and 10-1 in May 2024. We discuss the latter in Chapter 3.

This price action aligns well with Elliott wave theory, which describes the motion of stock prices as a sequence of waves. In this theory, a bull phase is the result of three separate upward trends, labeled 1,3, and 5 in Fig. 2, with intermediate corrections in between, labeled 2 and 4. At point 5, the bull trend is exhausted, the stock peaks, and the corrective bear phase begins. Comparing Fig. 1 with Fig. 2 would indicate that we are currently at point 5 within NVDA's overarching price movement, i.e., the stock has peaked and will soon fall.

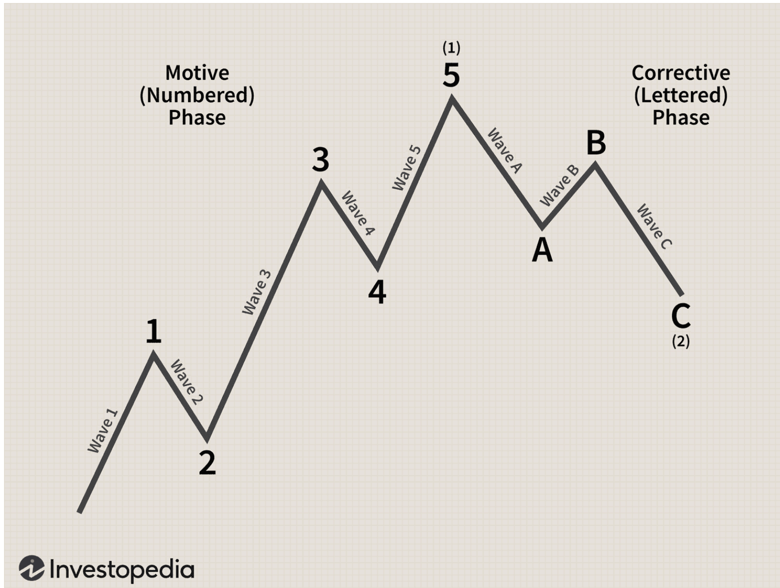

Fig. 2 – An Elliott wave, courtesy of Investopedia.

Now, let's zoom in and analyze NVDA's 2019-2022 bull run (seen in Fig. 3) from the perspective of William O'Neil's *How to Make Money in Stocks*: Stocks as a series of bases. This will serve as the foundation for our discussion of NVDA's most recent movement. Put simply, a base is a period of price consolidation, after which the stock price often moves strongly in one direction. We break these bases into two categories:

I. Well-formed bullish bases – bullish bases often feature tight constructions, where the stock price changes smoothly with minimal downward motion, correcting in most cases no more than 30%. Upward buying volume is high and downward selling volume is low. There will often be periods where the stock trades sideways or slightly downwards with tight closes and on low volume. The stock chart will usually make an identifiable pattern, such as a cup-and-handle. These bullish bases generally occur early in a bull cycle, and identifying these patterns can lead to substantial gains. A good stock will often make 2-3 well-formed bullish bases during its run in a bull market. Examples can be seen at points 1 and 3 in Fig. 3, corresponding to the first and third bases of NVDA's bull run. The second base appears wide and loose, but this is an anomaly caused by the Covid-19 pandemic. Here, NVDA rallied quickly, a sign of its strength.

II. Wide-loose bearish bases – An alternative to a well-formed bullish base is a base with wide and loose price action, meaning the stock price fluctuates wildly, sometimes over 40%. The volume is high and the red selling volume is higher than the green buying volume. The base attempts to form a pattern, but it often has several negative features. Such bases are generally bearish and occur at the final late stages of a bull market. These wide-loose bases can indicate a bear market is developing, and the stock's price, as well as the general market, is about to break. An example of a fourth-stage wide-loose bearish base can be seen at point 4 in Fig. 3. After a climactic top in November 2021, where the stock rose 50% in five weeks, NVDA attempted to make a wide-loose base that is 40% deep. This base is quickly sold off and NVDA falls from a split-adjusted $28 to $11 per share. Such wide-loose bases can be sold short.

Fig. 3 – A weekly chart of NVDA's 2019-2022 bull run. A series of four bases and a 650% increase in stock price.

2. ChatGPT, AI, and two nice cup-and-handles.

The market sentiment at the end of 2022 seemed bleak. Inflation was rampant, with the CPI climbing to a peak of 9.1% year-over-year (YoY) in June 2022. Prices seemed to increase daily, interest rates were quickly rising, and housing became unaffordable for many. The S&P 500 had fallen 19%, and the tech-heavy Nasdaq Composite had fallen 32%. Many, including myself, expected 2023 to bring more pain. However, the market was saved in November 2022 by the release of OpenAI's ChatGPT, and the AI race was on.[2]

The large language models (LLMs) used in modern AI algorithms require large amounts of computation for model training. This spurred an overwhelming, overnight demand for GPUs, particularly Nvidia's, to fill giant AI data centers. Nvidia's GPUs are considered state-of-the-art and are fabricated with AI in mind. Additionally, Nvidia's software CUDA is well suited for AI development. The explosive demand for Nvidia GPUs can be seen in the annual earnings per share (EPS) growth. Split-adjusted, Nvidia earned $0.17 per share in 2022, $1.19 in 2023, and $2.94 in 2024—a YoY growth of 600% and 150%, respectively. Nvidia had four quarters where the EPS quarter-to-quarter (Q2Q) growth was 733, 1133, 880, and 650%, i.e., when comparing quarterly earnings per share to the same quarter of the previous year.

In January 2023, NVDA broke out on high-volume from a first-stage cup base @$17.50, running up 185% over the next seven months and reaching $50 in August. This price surge was accompanied by high, increasing volume, which can be seen in Fig. 4. I was fortunate to identify the shift in market sentiment, and I made my first purchase of NVDA in February @$22.5. I also note that I later over-extended myself on margin and was hurt by the October correction. NVDA then consolidated and made a second-stage base at the $50 price mark. This base was a combination double bottom/cup-and-handle pattern. This second-stage base was particularly well-formed, with good low-volume indicators within the handle near the end of 2023. I purchased more NVDA stock in December 2023, and the stock ran up 90% from January to April 2024. 2024 was a great year for me: I made 111% and outperformed the S&P 500 by 4.5x, largely due to buying NVDA.

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[2] I will not discuss the merits of AI in this document. We will focus on the price action of NVDA stock.

Fig. 4 – A weekly chart of NVDA after the announcement of ChatGPT. A 750% increase in stock price.
Chart courtesy of StockCharts.com

Part II – The Fall

3. Late-stage bases. A climax top and a big stock split.

After the 90% move from the second-stage cup-and-handle, NVDA constructed a third base in the spring of 2024. The third base was a cup-and-handle with worse form than the previous two. The fall on the left side of the cup was sharper, the handle shorter, and the volume cues worse. Notice that the green buying volume is much lower than in the first two bases and that the volume is decreasing for the first time. This indicates a worsening demand for the stock. I did not add to my NVDA position at this time. Nevertheless, this third base was sufficient, and NVDA broke out with a large gap-up on earnings. This brings us to the next phase of price movement: a climax top.

NVDA ran up 50% to $140 per share in only a few weeks. This movement is accompanied by several gap-ups in price, i.e., a day where the stock opens much higher than the previous day's close. Together, these mark a classic "climax top" indicator that demonstrates that the stock is beginning to peak. At this time, the stock is being piled into, exuberance is high, and the price runs wild as the public sets their eyes on it. AI is heralded by many to be bigger than the internet, new contracts for Nvidia's AI GPUs are signed, and companies publicly commit hundreds of billions of dollars to this new technology. Nvidia's stock is seen as a must-buy. However, what is obvious in the market is rarely profitable, and many may have jumped in too late.

On June 10th, 2024, NVDA underwent a large 10-1 stock split. NVDA was now the most traded stock in the world, with the largest number of shares outstanding. At the time of this writing, NVDA has a float of 23.5 billion and an average daily trading volume of 270 million, credit [Finviz](). For context, the next largest float is ABEV with a 15.7 billion float, and the average volume of the SPY ETF is 55 million. Nvidia was also added to the Dow Jones Industrial Average, not a good sign for its growth prospects. After the split, the stock's progress was stopped in its tracks, and it began to break down sharply, falling 35% in July. Over-leveraged and not wanting to lose my gains, I sold NVDA in August 2024 at $108 per share. From my initial buy at $22.5, the stock was up 400%. Combined with my follow-up buy at the $50 second-stage cup-and-handle, I made a total of about 200% going long on NVDA. Now it's a short.

4. DeepSeek. Tariffs. Historical precedent.

NVDA rallied from my sell point in the Fall of 2024, working to build its fourth base of this two-year bull run. This can be seen in Fig. 5. Like many late-stage bases, this base is wide and loose. The base resembles a deep cup-and-handle—here, the cup made in July and August is sharp, coming from a four-week 35% decline. The September handle is similar, falling from $130 to $103, giving a 20% deep handle that reaches the lower half of the cup. The volume of this base is very bearish, the red selling volume is high, and the green buying volume is low. The October breakout attempt is marked by very low, decreasing volume. The stock pushed into all-time highs and reached $153 in November before running into resistance. From a breakout point of $130, this is only a 17% move, the smallest so far. Note that the buying volume of this fourth-stage base is the lowest of all the bases.

On January 20th, 2025, the open-source DeepSeek-R1 model was released, and on January 27th, NVDA stock crashed 18% on high volume to its 50-week moving average. The Chinese company had demonstrated that AI algorithms with performance similar to that of ChatGPT could be developed with simpler methods while being trained on fewer GPUs. DeekSeek claims to have trained its model on only six million dollars worth of equipment, a far cry from the hundreds of billions expected by Silicon Valley. This represents a dramatic shift for the semiconductor and data center industry. On March 25th, 2025, Apple announced a one billion dollar purchase of Nvidia GPUs, leaving many saying: "That's it?" With waning demand, it is unlikely Nvidia will be able to sustain its current levels of growth, and its stock price. To add fire to the flame, President Trump announced several tariffs in 2025 on China, Canada, Mexico, and likely the EU, which have added uncertainty to this market. The effect of these tariffs—and their reciprocal tariffs—is still unknown. President Trump has also indicated that he may impose tariffs on Taiwanese semiconductors. Included in the top right of Fig. 5 is a weekly chart of the Nasdaq 100, note the high red selling volume that has occurred this year.

The pattern of NVDA's current late-stage base is similar to that of the colorfully named "Punchbowl of Death" described in Gil Morales's [*Short Selling with the O'Neil Disciples*](). This pattern describes a deep cup that then constructs a large, extended handle above the cup. The volume in this long handle dries up, as it does in most handle formations, but here, the result is bearish due to the late-stage wide-loose nature of the base. We can see two historical presidents of this pattern at the bottom of Fig. 5, highlighting First Solar (FSLR) in 2008 and Hewlett-Packard (then HPQ) in 2000. Both of these patterns made deep cups: FSLR was 50% and HPQ was 37.5%. The stocks then made a long, flattish pattern that broke down approximately four months from the stock's peak. The stocks initially fell through their 50-week moving average, rallied once, and then collapsed. FSLR fell 67% in two months and HPQ fell 50% in three months. It is worth noting that these two stocks were big leaders in their time's hottest industry.

We are four months from NVDA's local November peak that started its long handle, although it's absolute peak was in January 2025. NVDA has broken down through its 50-week moving average and has rallied once.

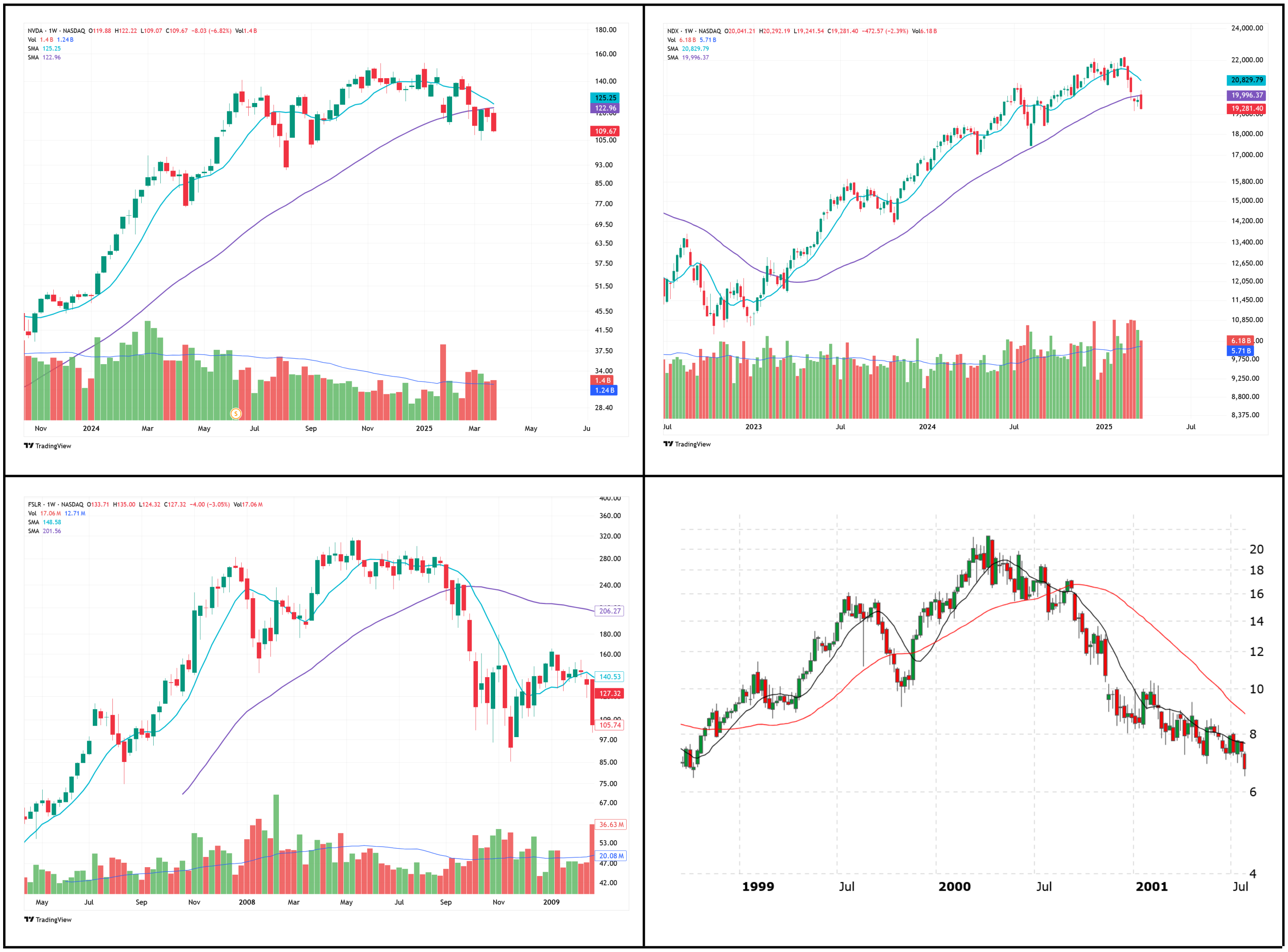

Fig. 5. Punchbowl of death, with precedents. **Top Left**: Nvidia (NVDA). **Top Right**: The Nasdaq 100 (NDX). **Bottom Left**: First Solar (FSLR) 2008. **Bottom Right**: Hewlett-Packard (HPQ) 2000 (Credit MacroTrends).

Part III – How to play it

5. Conclusion – Expected fall, when and how much.

For the reasons discussed in this document, I believe that Nvidia's stock has peaked and is a short. From the macroeconomic shifts caused by DeepSeek and tariffs to the broad technical analysis of Elliot wave theory, NVDA's wide-loose fourth-stage base is likely to fail. From Fig. 5, we can expect NVDA's price to undercut the bottom of its large cup before attempting a rally from the support of its third-stage base. This support level is my NVDA price target of $80 per share, indicating a 25% fall from its current price levels. An NVDA short may be covered at this point. I expect this fall to occur over the next three months, i.e., in the spring of 2025. After the cover point, watch for a weak rally back to the 10-week line. Fig. 5 indicates that this may be a secondary short point. Note that the stock is currently near local lows and may rally back to the 10-week average in the near term. For safety, all shorts should be covered if an 8% loss occurs. Additionally, I recommend exposing no more than 20% of your portfolio to short-selling as the practice is quite difficult.